

FINANCE GLOSSARY

General

- **Asset:** Something valuable owned by a person or company that can generate future benefits.
- **Liability:** An obligation or debt that must be settled in the future.
- **Equity:** The residual interest in assets after deducting liabilities; owners' claim.
- **Revenue:** Inflows from selling goods or services.
- **Expense:** Costs incurred in generating revenue.
- **Profit (Net Income):** Revenue minus expenses; the bottom-line result.
- **Cash Flow:** The net amount of cash being transferred into and out of a business.
- **Cash Flow from Operations:** Cash generated by core business activities.
- **Balance Sheet:** A snapshot of assets, liabilities, and equity at a point in time.
- **Income Statement (Profit & Loss):** A report of revenues, expenses, and profits over a period.
- **Statement of Cash Flows:** Shows cash receipts and payments over a period.

Valuation and Metrics

- **Market Capitalization (Market Cap):** Stock price $\times$ outstanding shares.
- **Price-to-Earnings (P/E) Ratio:** Stock price divided by earnings per share; a measure of valuation.
- **Earnings per Share (EPS):** Net income divided by outstanding shares.
- **Return on Equity (ROE):** Net income divided by shareholders' equity; profitability from owners' perspective.
- **Return on Investment (ROI):** Net gain from an investment divided by its cost.
- **Return on Assets (ROA):** Net income divided by total assets; efficiency of asset use.
- **Net Present Value (NPV):** Present value of cash flows minus initial investment.
- **Internal Rate of Return (IRR):** The discount rate that makes NPV zero.

- Discounted Cash Flow (DCF): Valuing an asset by projecting cash flows and discounting them to present value.
- Free Cash Flow (FCF): Cash from operations after capital expenditures.
- EBITDA: Earnings before interest, taxes, depreciation, and amortization; a cash-flow proxy.

Debt, Credit, and Interest

- Interest Rate: The cost of borrowing, usually a percentage of the loan.
- Principal: The original amount borrowed (excluding interest).
- Coupon: The periodic interest payment on a bond.
- Yield: The return on an investment, typically as an annual percentage.
- Bond: A debt instrument issued by a corporation or government.
- Credit Rating: An assessment of creditworthiness (e.g., AAA, BBB, etc.).
- Leverage: Using borrowed funds to amplify potential returns (and risk).
- Margin: Borrowed funds used to increase the size of an investment; also the difference between asset value and loan.
- Amortization: The gradual repayment of a loan over time.
- Depreciation: Allocation of the cost of a tangible asset over its useful life.

Markets and Investing

- Asset Class: A category of securities (e.g., stocks, bonds, real estate, cash).
- Diversification: Spreading investments to reduce risk.
- Portfolio: A collection of investments owned.
- Mutual Fund: A pooled investment vehicle managed by professionals.
- Exchange-Traded Fund (ETF): A fund traded on an exchange, typically tracking an index.
- Index: A measured basket of assets representing a market or sector (e.g., S&P 500).
- Volatility: The degree of variation in returns; risk proxy.
- Beta: A measure of a security's sensitivity to market movements.
- Alpha: Excess return relative to a benchmark.

- Dividend: A distribution of a portion of earnings to shareholders.
- Capital Gain/Loss: Profit or loss from selling an asset at a higher/lower price.

Accounting and Reporting (GAAP/IFRS)

- GAAP: Generally Accepted Accounting Principles (U.S.).
- IFRS: International Financial Reporting Standards.
- Accrual Basis: Revenues and expenses recognized when earned/incurred, not when cash is received/paid.
- Revenue Recognition: The criteria for recognizing revenue in statements.
- Matching Principle: Expenses should be matched with the revenues they help generate.
- Overhead: Ongoing business costs not directly tied to a product or service.
- Accrued Expenses/Accounts Payable: Costs recognized but not yet paid.
- Accounts Receivable: Money owed to the company by customers.
- Inventory: Goods held for sale.
- Depreciation/Impairment: Allocation of asset cost or recognition of reduced asset value.
- Goodwill: Intangible asset arising from business acquisitions.
- Financial Statements: The set of reports (balance sheet, income statement, cash flow statement).

Corporate Finance

- Cost of Capital: The return a company needs to attract to fund operations.
- Weighted Average Cost of Capital (WACC): Average after-tax cost of all sources of capital, weighted by their use.
- Capital Budgeting: Deciding which long-term investments to undertake.
- Financing vs. Investing Activities: Cash flows from funding activities vs. asset purchases.
- Leverage Financing: Using debt in capital structure.
- Divestiture: Selling off a subsidiary or asset.
- Share Buyback (Repurchase): When a company buys its own shares.

Macro and Economic Context

- Inflation: Rise in price levels, reducing purchasing power.
- Interest Rate: Central bank policy rate affecting borrowing costs.
- GDP: Total value of goods and services produced in an economy.
- Monetary Policy: Central bank actions to influence the money supply and rates.
- Fiscal Policy: Government spending and taxation decisions.
- Currency Exchange Rate: Value of one currency in terms of another.
- Liquidity: Availability of liquid assets to meet short-term obligations.
- Solvency: Ability to meet long-term obligations.